

think you will continue to spend an equal amount, bump up the rule of thumb a notch and look at a higher saving ratio or target a higher return ratio.

Assumption two: Your post-retirement expenses continue to grow at 6 per cent a year. So, by age sixty-five you will be spending an annual Rs 21 lakhs and so on.

Assumption three: You will leave your entire corpus to your kids and will not use a single rupee of your retirement corpus. If you plan to use your capital during retirement, your saving ratio will go down.

Assumption four: You split your retirement corpus at sixty into two parts. Seventy per cent of the corpus goes into a conservative 7 per cent guaranteed-return product, like an FD or a debt fund. Again, this 7 per cent number is relative to the 6 per cent inflation number. If you want to work with a lower inflation number, take 1 percentage point above that as your guaranteed return for post-retirement income. Rs 70 out of every Rs 100, you are putting to work for assured income starting at age sixty. Rs 30 of every Rs 100, or 30 per cent of your corpus, you can invest in lower-risk equity funds – maybe an aggressive hybrid mutual fund. We don't need this money for the next twenty years. I assume a conservative 10 per cent return on the equity portfolio.

The income you draw is much larger than your annual expense at age sixty. You do this because inflation will make you need progressively more money each year; and instead of rejigging your portfolio every other year, we leave that for just once in the future.

There can be a more efficient way to do this, but remember, this is an indicative method. A real financial plan will be much more dynamic than just a one reset of your portfolio. Your income is much larger than your expenses and will continue to be till you hit age eighty. For twenty years, 70 per cent of your portfolio will generate enough inflation-adjusted income. What'll you do with the annual or monthly savings? Invest it right back – into the same fund that 30 per cent of your corpus went into. The monthly savings go into an SIP and get to work in the same fund. So you have a growing corpus for your really old age. At age eighty, inflation will catch up with your income. That's the time you liquidate your portfolio and put everything in the safe 7 per cent product. There is enough money to last you till you are 111. Not only is your corpus still there, it